Warsh Woke Up The Bond Vigilantes

Podcast: Macro trading floor

AI Executive Summary

1. Core Thesis The episode explores a shifting macroeconomic regime characterized by the Federal Reserve's move toward "passive" monetary policy, where the central bank avoids explicit forward guidance and effectively allows the bond markets to dictate the direction of interest rates (the "Maradona theory"). The speakers argue that because the Fed is no longer actively "touching the ball," bond vigilantes are driving up real yields to act as the necessary "medicine" to curb growth and inflation. This transition creates a landscape of heightened volatility, where the primary risks involve the fading of US fiscal impulses, the slowing second derivative of AI capex, and potential exhaustion in previously parabolic momentum stocks and currencies.

2. Key Arguments & Data * The Fed's "Maradona" Strategy: The Fed is avoiding official forward guidance, essentially allowing the market to handle the tightening or easing cycles. This lack of an intellectual framework leaves the market vulnerable to sudden shifts in direction. * **Bond Market as the Policy Driver:** With inflation swaps remaining low despite high real rates, the bond market is pushing for higher nominal yields (e.g., 5.55% in the US) to ensure long-term growth and inflation targets are met via higher real interest rates. * **Fading US Economic Tailwinds:** * **Fiscal Drag:** The US fiscal impulse is expected to disappear by June as tax refunds expire and fiscal tightening begins. * **AI Capex:** There are signs that the rate of change (second derivative) in AI-related capital expenditure is slowing. * **Growth Risks:** Potential for US growth to fall below potential by 2027 due to high real rates and declining fiscal support. * **Equity & Momentum Exhaustion:** High-momentum sectors, specifically semiconductors (e.g., Micron, Korean semis), may be entering a period of consolidation or significant drawdown after parabolic moves. The "animal spirits" in retail-driven themes like gold/silver have also noticeably dissipated. * **Currency Divergence:** * **USD Bearishness:** Potential for a weaker Dollar due to diminished Fed credibility and cooling US tech excitement. * **Defensive FX Opportunities:** Potential long opportunities in the Euro, Swiss Franc, and Japanese Yen (driven by domestic repatriation from GPIF). * **Emerging Market (EM) Outlook:** * **South Africa**

(Bullish): Long-term constructive view due to high institutional credibility and fiscal conservatism, despite short-term volatility triggered by oil price spikes. * **Indonesia (Bearish/Risky):** High uncertainty due to political shifts, central bank leadership changes, and perceived "messy" governance. * **Poland (Risk):** Negative outlook driven by political friction between the President and Prime Minister, and a constitutional debt limit.

3. Actionable Takeaways * Monitor Real Yields for Growth Signals: Watch for a potential inflection point where rising real yields begin to hurt growth enough to trigger a rally in long-duration bonds. Use volatility/payrolls as entry points for "long bond" trades when the growth narrative shifts. * **Utilize Statistical Extremes for Entries:** Instead of trading purely on charts, use technical extremes (e.g., 3.5 to 4 standard deviations from a moving average) as tactical triggers to enter high-conviction fundamental trades during periods of forced liquidations. * **Strategically Manage Factor Risk:** Avoid the trap of hedging away all macro factor risks (which destroys alpha). Instead, focus on sizing positions around a core thesis and only purchasing hedges when they are statistically cheap (e.g., using put spreads or oil calls to hedge rate/commodity sensitivity). * **Identify "Defensive" FX Pairs:** Look for opportunities in EUR, CHF, or JPY against the USD as part of a strategy anticipating a global growth slowdown and a potential weakening of the US Dollar.

Full Transcript

The macro trading floor with me Alfonso Peccatillo, founder of the macro compass and former head of investments at the large European bank. And I am Brent Donnelly, president of Spectrum Markets. I've been a portfolio manager, day trader and market maker at the biggest commercial and investment banks in the United States. I'm also the author of Alpha Trader and the art of currency trading. If you want to know what's going on in markets and where they're going, you found the right podcast.

Hi everybody and welcome back to the macro trading floor brand only Alf the duo you like so much talking about markets Are we gonna talk about something or should we do like worse does basically? Don't tell the market anything if you don't know how are they looking at inflation growth? Nothing no intellectual framework would just let the audience of the macro trading floor take over do the tightening or the easing for us It's crazy. Yeah And then of course, if you let the market take over, then the market does take over Brent and it's not the bond markets are not known to be lenient. I would say if you give them a hand and a fist to take over, right? Yeah, the market definitely did not like the press conference yesterday. There's just no, no direction whatsoever. And I mean, obviously to not give forward guidance is one thing, but they kind of like are giving this mixture of some people are still doing speeches. There is some guidance of some sort. There's no official forward guidance, but there never really was before either. There was just more of like a spoon feeding. If the market was not pricing what they wanted, then they would get journalists to price it or whatever. But I think it definitely cut the market off guard on the bond market side. Now, obviously what the bond market, you know, a rational sort of Orthodox view of what happened is the bond markets saying, hey, they're not serious about inflation. This is the same old Fed as the all the other feds where they talk a tough game and then they do nothing. And, you know, it was quite clear that this was an opportunity for them to do something. And they decided to not do anything, which I guess means that he couldn't get the votes, do you think? Or do you think he voted for a hold? He voted for a hold. I mean, well, he voted for a hold. But I'm saying, do you think he was trying to get people enough high quotes and he couldn't

get them. No, no, I have a very, and maybe I'm biased, maybe I should correct this. At the end, what I trade doesn't have to do with what I'm about to say. But I'm not very much of a fan of these word solids without giving an intellectual framework to the market. I mean, I it doesn't look to me like he has any idea what he's doing to be honest. And you might say, yeah, Powell and the others and Yellen had a framework and the framework was wrong. Okay, fair enough.

That's a fair criticism. But at least they had the framework, especially Powell. It was very clear with the others. You know, they told you they were splitting core PCE in core services and services, excousing and this and that. And they were looking at them with various weights. And, you know, at least you had an idea what they were doing. Six months annualized with something you were you would hear in press conferences here and there. And now you don't hear anything. You have no idea. So. I do think, Brandon, that he's applying the Maradona tier of interest rates, which is basically like the famous goal that Maradona scored at the World Cup before I was even born. Wow, I'm young. And yeah, it's basically he dribbled a bunch of defenders without touching the ball, right? And the parallel is the same here. The Fed is not going to touch the ball. Namely, it's not going to do anything on the Fed funds rate. And they're going to try to dribble defenders.

effectively allowing the market to do the tightening when necessary and do the easing when the data comes back in. So effectively handing over the keys to the market, which is a strategy, a relatively risky one, I would say. What do you think changes if they really hand over the keys to the market? I mean, from a framework perspective, what should we change in the way we invest? Well, so honestly, the thing that I don't really understand is how inflation expectations or inflation swaps, et cetera. are still so low. If people are worried about the Fed not losing control of inflation or being not credible on inflation, and real rates are very high, why are inflation swaps so low? Is there something in the technicality of the way they fix against CPI or what's going on there? So if you push inflation swaps much higher, let's say in two year, three year, four year, then it will start incurring potential into negative carry. So every time the CPI comes in, you really have to be right on inflation picking up. And I think the market is very

reluctant to embrace the market. I mean, the real inflation swap people are very reluctant to embrace this inflation runaway. Brent, frankly, from my models, there is no inflation runaway in the short term, right? There is nothing that suggests we're going to see anything like that. Wage pressures are pretty low.

So what's the pressure in the bond market then in your opinion? Yeah, it's mostly about the fact that if you Tell the market take over and give me the medicine basically give me the level of Nominal yields that is necessary to tame growth and inflation down the road Then perhaps they the bond market says okay. Well, if you give me ability to do that I need higher interest rates. So what I think is take Japan For example, Japan is the poster child of this going behind the curve talking a lot and doing nothing. Yeah, pretty much. So if you look at long and forward rates in Japan, they are nominal around 4% the forward long and rates in Japan. Now, long and forward rates in the US, I just checked this morning, I had to check twice to make sure I got it right are 5.55%. So five year forward 10 year 10 year forward 10 year like long and forward rates are pretty high in the US.

And then you compare where they are in the US versus where they are in Japan and the different economies, right? I mean, what's the nominal neutral interest rates in Japan and in the US. And at the end, you in Japan, they went to 4%, which for Japanese rates is pretty high because that's the market medicine brand for enforcing long term inflation target and long term, no runaway growth and no runaway inflation target. And so long and rates can go up as a combination of real yields going up. and inflation break events going up. So there can be a combination of the two or either of the two and right now it's basically only real yields going up. So the bond vigilantes are inflicting the medicine not so much on inflation swaps but on real growth. So they want to slow down the growth engine and the way to slow down the growth engine is to push up real interest rates. So that's the medicine they're deciding to inflict right now. They don't see the market doesn't see inflation run away. The market sees that if you let them set the yield necessary to achieve long-term inflation target at 2%, they need to slow down growth. That's what they're saying. So it's just setting a higher terminal rate essentially in a certain way. Now, what do you think? Just to finish off, Brent, they basically say the R star, the real equilibrium interest

rate in the US, given these conditions, sorry, but it's not 50 bps or 75 bps, you need to get to a real interest rate that is much higher in order to slow down the US growth engine in a way that inflation is consistent with 2%. If the Fed does nothing, then the market is going to do it with real yields in the long end. Right. And I mean, that makes sense. I guess when you see, they went from 25 basis points to 500 in 22, 23 and the economy didn't slow. So they've never really actually got to a point where it seemed to be negative for the economy. Now with the one big, beautiful bill impact is fading.

You can argue that AI capex, the rate of growth is declining. It's still growing, but the rate of growth is declining. Do you think that poses risks for, let's say, I know this is not what we're trading, but just to set the table before we talk about trading. Do you see that some growth risks then in 2027 with real rates so high, fiscal maybe a bit less, and AI capex plateauing? On OBVV, I saw your piece. Was it yesterday where you looked at it? And I went in and looked at the quarterly impact of OBVV. And yeah, as you would expect, the tax refunds and I mean, they're all expiring. Basically, the fiscal impulse is gone by June. Now there is fiscal tightening. Yeah, it's basically negative impact on US GDP growth going forward. And I was looking at the reconciliation bill and I was asking myself, Okay, so now they're going to for sure pump it before the midterms, right? They're going to do a reconciliation bill and try to put up some fiscal juice before midterms. But yeah, the proposed bill is 90 billion. It's nothing. And also the Senate Republicans are pushing it back already. So it doesn't look like there's going to be any replacement rent for fiscal anytime soon. So we're going to have a fiscal drug here, here, people. We're going to have a fiscal drug in the US temporarily, temporarily until the next budget goes live in after the midterms.

And then AI copax, yeah, it does look like the numbers are slowly slowing down. I mean, the rate of change in the second derivative isn't going up either. And I'm sorry, Brent, but why should... I mean, why should I think that forward growth in the US should be above potential with the fiscal drug and AI copax second derivative slowing down? I think it should be below potential, if anything. And then I was also looking at the ADP, you know, the weekly... uh job creation numbers are very useful they have number until the 11 of july and this thing is now at 15k a week so we're adding 60

000 jobs a month, montalized if that's a word in english so from weekly based up to month 60 000 jobs it's it's like just enough it's a break-even rate and that's where we are now before the fiscal drug kicks in i mean frankly growth doesn't look like it's going to be above consensus but then but then If the Federal Reserve hands it over to the bond market and the bond market sees growth coming down, perhaps inflation also cooling off a bit, should we not think that bonds will rally back? I think we should. Well, there's a strange circularity too. There is a point at which yields go up fast enough to hurt growth and then that's bullish bonds. So maybe we're getting close enough to that point where you can say the bond market moves are becoming like not necessarily irrational, but you know, 4% in Japan, whatever 5.5% in the US, you know, there are limits to how far yields can go unless we're in like a full on fiscal crisis, which just never is really the trade. I mean, it might be a trade here and there for a week or two, but it never really ends up being much of a trade unless you have like a multi-year time horizon, you're just short bonds, you know, for five years or something like that. But I would think that the risk reward, you know, is gets more and more skewed towards long bonds. But I don't know, a few times I've thought that and even honestly now, it's surprising to me how much yields are still going up in the back end and how high real yields are. And I mean, maybe that's the thing is that all these things eventually just lead to slower growth in 2027. And then the cure for high yields is the high yields themselves. Yes, indeed. But something you said about growth is actually interesting.

We're discussing this morning in the fund and in the macro strategy. What about equities? Because if you see slowing growth, Brent and the Federal Reserve goes again, Maradona theory of interest rates. So it again says nothing. And it just allows the bond market to maybe reprise a bit down yields. At the end, you're not going to get enough easing from the bond market to offset the negative growth shock. it's likely right that you get negative growth shock and then you don't have power like last year saying oh okay we see the labor market you know weakening and we will be on the loosening side of things you don't get that you get nothing basically Worcestershire nothing once again and so yeah you're left with the market rallying 10 20 basis points but no monetary direct monetary policy stimulus if you wish offsetting the fiscal drug what about the risk are we sure that

this is The small bond market rally that ensues is enough to offset the negative growth shock Or should we think that also the stock market doesn't you know enjoy this too much? I'm not calling for a 20% rowdown, but can it be that you lose the growth engine you lose the Proactive monetary policy stimulus engine because there is no monetary policy anymore apparently just a word salad and Yeah, what about equities just question mark Well, I mean, that's an interesting point. Again, this is sort of looking further into the future than our current trading, but it is interesting because in 2018, 2019, we did have the big sell off in stocks at the end of 2018. And then really it was just for guidance from the Fed that stopped it, right? They just basically signaled that they were going to, they were in a hiking cycle and they just said, okay, now we're going to be in a cutting cycle. And that was the low in stocks. So they were kind of quite preemptive just without even actually moving the Fed funds rate. So yeah, that's a good point is that if you have to wait longer for the cavalry to come, then the skew to the downside is going to be larger. And I mean, it is pretty mind-bending now some of the moves in stocks, like if you look at Korea and, you know, even like Micron traded to 12.55 on earnings and it's at 7.40 now.

You know, we've had some very large drawdowns in specific stocks already. And so the question, I guess, becomes now is like, was that it? Did you normally, when things go parabolic and then they break, you don't then go up and make a new high after that. So maybe now, maybe that was the high. You know, maybe that was the absolute high for semis. What do you think? Yeah, look, we have seen this movie already with silver and gold. Do you hear anybody talk about silver and gold these days? No? No, not anymore. Well, in general, it was the only thing people wanted to talk about. And remember, I told my co-founder in the fund, on Italian TV, they just gave an ad of some guy telling people to monetize their gold. And I'm like, OK, that's probably enough. This was like a few days before Silver hit 117. And so what happens is, of course, everybody gets excited about the momentum unwind as well. And the way they got excited on the momentum uprise, right?

And then you end up in a swamp. Nothing. Look at the realized ball of silver and gold is like this. And it's going nowhere. It's not drawing an eye there. I mean, is the bears are frustrated. The bulls are frustrated. There are

no bears. There are no bulls anymore. Nothing happens. And could it be that this happens for a few weeks or a couple of months to the darling of the market, the momentum stocks? Yeah. Very likely. I think. It's actually, it's my base case, Brian, that nothing's going to happen and micron is going to trade in a range and for a couple of months at least. Yeah. And I mean, like you said, normally the bursting of these things is a very vol negative event. Really, that's usually the trade. I mean, you even see that in crypto, right? Once, once the animal spirits go away, they don't come back. And that's an interesting statistic that I saw from Vanda this week is that in all the prior dips, retail has kind of gone crazy. And they've been one of the main supply, I was going to say suppliers of demand. That sounds strange, but the sources of demand was retail like in liberation day institutions were selling like crazy and retail was buying. But now we're actually seeing very, very little retail buying. It feels to me like reading Wall Street bets and all that.

People just lost money in gold and silver. They lost money in quantum computing and a whole bunch of other things, like all the sort of space bubble. There's all these little bubbleettes in SpaceX, obviously. And retail has just lost so much money on all these little short-term themes that turned into bubbles. Gold and silver being the biggest one. That retail's just kind of gone away now, which is kind of bearish, like at the margin. you had, you used to see it too. If you just watched Micron on the open, you know, there was always massive buying on the open because the retail just bought every single dip for ages. And it's the same thing there. They're not doing that. And I would think it's the same thing in Korea as well is that once you realize, because the thing that sucks people in is people around you are making money. All your friends are making money. Oh, you got to do this thing, this day trading thing. And then once people start losing money, the the shine comes off and they, you know, new people don't come running in after them because then you start hearing about people losing, you know, going bankrupt and stuff like that in Korea. And so you don't ever get a second wave of like, oh, maybe now that everyone's bankrupt, I will come in and day trade Korean stocks. Like it just doesn't work that way. It just keeps sucking more and more people in until it bursts. And then now that it's burst again, like I'm in the same camp as you, it's probably.

consolidation range trade overshoots to the downside, but never gets anywhere close back to the highs. Yes. And then, you know, we're setting the table brand for the most hated quarter of asset classes down the road. And hear me out. The only trades that make real sharp over the next three to four months are if you're not a right, long bonds, which I think pretty much nobody owns at this point especially long-end bonds maybe some version of short dollar and not against the end by the way because growth is slowing down so you probably long euro actually long euro long bonds are you ready to make money on long euro long bonds i think the answer from 99 of the people is no way go take a walk i'm long some version of stock ai em carry short bonds, steep, whatever, right? And it's actually quite interesting. Just the provocation, but I think I can see a world where being long euro and long bonds is going to deliver the highest sharp over the next three months. Yeah, I'm not really on board for the bond thing yet. I feel like as an investor, it makes sense. But as like a trader, I don't know, I just, I don't exactly see what the catalyst is for the turn, especially when we had the weak CPI, PPI and and dovish fomc and so i'm not sure what what you're looking for in the short short run as an investor i agree on the fx side even though it was only 30 35 price there was a lot of hedging for a hike in in fx so a lot of people bought dollars uh and i do feel like some of the trades like dollar yen and dollar swiss are probably pretty crowded at this point so i do see like and dollar swiss is euro dollar basically so I would see that making sense. And then depending if equities can stabilize, maybe the rest of the currencies are okay too, and we see dollar down. The other thing is too, is as money, I don't know if it's necessarily stopped flowing into US tech, but the excitement level around US tech is pretty mixed now. Like you saw last night, Microsoft earnings stock is up, meta earnings, the stock was down a lot.

it's kind of mixed now. We're not really like in this raging bull market. And so the capital flow from all money from every single country flowing like crazy into US tech has kind of slowed. So with the market long dollars, and I guess you could argue Fed credibility is a bit underwater right now. you could even make the argument of selling dollars based on that in the short run. But what people were doing yesterday is selling bonds and selling dollars at the same time, which is like the fiscal bond vigilante trade that never works for more than a short period. But I would say in the short run, I

definitely could see dollar lower. Euro is also a big short against EM because it's been a good funder. So Euro and Swiss have been used as a funder because Yen is a bit weird because you don't know what your gap risk is if there's an intervention. And then just finally on Yen, there still have been more and more noises about GPIF rotating. I think that's actually a real thing. It takes a while because it's bureaucratic and they're slow and they don't have to change their foreign allocation. All they have to do is move the current investments within the current band.

So there is quite a bit of room for GPIF to eventually start repatriating and buying domestic assets. In fact, so there's been a bunch of announcements like Taki G and Katiyama both talking to GPIF saying like, hey, let's go more domestic. And then yesterday they announced they hired three domestic bond managers, which is a new thing. So to me, it does seem like the long term, the switch is going to happen. And that will be positive. And then you always have the MOF and BOJ kickers. And so I still think, even though it really hasn't moved, like I got bear Swiss Yana a couple of weeks ago, and it's exactly where it was, I do feel like the Yana appreciation, not necessarily against the dollar, but against other currencies is probably in the cards in the next two to three months. That would also, I mean, if I'm right under this inflationary date and the fiscal drug, then Generally speaking, defensive currencies, defensive against the cyclical macro setup, do fine. So the dollar goes down and actually you have, I don't know, Euro, GPY, CHF actually trading pretty well. Then on top of it, you have the domestic Japanese situation, let's say with GPIF and other things, you know.

I think it's always hard to say the JPY is gonna rally because everybody hates that so that's why I say the euro because I want to sound institutional you know and it's more credible if I tell you the euro is gonna rally but in general yes and then the other thing you said is about the catalyst right I mean why would somebody go long bonds now that's a very good question Brent because at the end of the day the next data is NFP what is it next Friday not this Friday but the Friday after that and before that there is not so much important data I would say at the end date is going to be in the driving seat so if you think NFP is going to be weak then perhaps next week you can start going long bonds and say look I have this inflationary thesis might as well just start buying some because data is coming but before now

and then sorry about the market bond vigilantes are left to their imagination how much they want to punish worse for his you know delivery yesterday could be maybe that's Sorry, maybe what you're describing as the perfect strategy is that you have a view that yields are probably wrong, but there's no catalyst and there's a lot of momentum in towards higher yields. So pick your catalyst and then you're going to have an incredible entry point if that's the start of a new regime where people start worrying about growth. Because the word growth doesn't even appear in stories anymore. People just assume we're on a disk.

perfectly steady run rate, and you don't even have to try to forecast growth. So if growth were to start slowing or we got any data, your entry point is unbelievable in bonds. But yeah, maybe what you said is perfect. You just wait, wait, wait. And then even if you want to do it before payrolls, because you feel like you're going to miss it, try it in payrolls. If payrolls are strong, you get out, try it maybe next CPI, whatever. You just keep, to me, sometimes those are good trades is you try something two, three, four times, because you get a lot of leverage if you catch it. If you go long bonds and payrolls is negative, sometimes you can then hold on for two weeks and catch four points in the bond market or four points in 30s or something like that. From a trading point of view, as opposed to just sitting there and keep on picking levels to get long bonds and getting stopped out without a catalyst is a lot more frustrating and I think lower probably negative EV.

People here talking about entering long bonds crazy crazy people that want to buy bonds and want to sell the dollars But I think it could pay with some patients Very out of consensus, which I like What about actually you know one thing that you meant you mentioned about the euro and I was saying like dollar yen and and It just brings up one point, which is I had mentioned I went short Swiss Yana a couple weeks ago and it hasn't moved And in the current regime, actually surprisingly, even though there's this idiosyncratic yen story, Euro and yen have been pretty much the same trade. Euro yen, the cross hasn't really moved that much. And it's always good to know that if you are trading the defensive currencies, you can be long euro, you can be short dollar Swiss, you can be short dollar yen. There are idiosyncratic things going on, but actually they're all moving together anyways.

I think that's always good to know when you're trading. Are you trading a yen idea or a dollar idea? And right now, if you have a yen idea, it's not doing anything. It's just a pure dollar situation until further notice. Although I guess my other point there is that I do feel like there will be an idiosyncratic yen trade as the flows change, but we're not there yet. I also feel that because the listeners of this podcast are a bunch of... traders and institutional people and interested macro people we should also try to touch upon a few Countries I would say that is not the usual G3 G4 G5 So I'm gonna start Brent figure out if you have something to put in the mix I am going to start from South Africa And so we had the SARB meeting and these guys were supposed to hike every economist expected them to hike. For reference, South Africa is lower than inflation target to 3%, trying to be a super institutional credible central bank. You lower your inflation target, which means you make your job harder to achieve. And then fiscally you tighten the belt as well. So you are becoming basically everything that investors want to see, fiscally conservative, central bank super credible with a lower inflation target. And then Inflation goes to 5% and therefore you're supposed to hike and you don't and so pre-worsh Worsh got the The memo he didn't read the memo probably and then the long end of a czar blew up completely and the currency also sold off two and a half percent in a day Just an interesting poster child. I would say medium term on South Africa. I'm very constructive I think what they're doing all makes sense But the biggest problem and now I'm gonna link a South Africa thesis with how to trade and to hold a portfolio brand is in macro apparently in July there has been another semi-mini carnage on front end rates. So be a bank of England receivers emerging market receivers, you know, people receiving Polish interest rates and South African interest rates, Hungarian interest rates, they all blew up again on this oil spike, right? So if I have a thesis on South Africa, and I think the central bank is doing everything great, and the curve is too steep, I want to receive interest rates are, you know, too high, I think these guys are doing everything they should do. How the hell do I manage this? Because every time that Trump tweets something or Iran sends a drone somewhere this time to Egypt, this thing blows up like how should I think about factor risk if I'm running five trades and then they seem uncorrelated and all of a sudden you have one factor that can make them all correlated in one 10 minute session. Right I mean that's the biggest problem with rates right now is that it is the release valve and it seems to be the release valve in

one direction more than the other direction. I mean the only way to do it I guess obviously is either use some kind of oil hedge or do relative value, right? Like receive South Africa and pay something that you don't like. Are there any countries that you don't like? I know you're kind of bullish on a few countries like Columbia and stuff still. Are you, are there any EM countries where you're kind of like, I don't really like it? Well, Poland is doing their best to mess it up. They have a president that vetoes the budgets from the prime minister task, and then they have a constitutional debt limit, so they can't do more.

many more that much more deficit. The central bank is inherently dovish versus where the rates should be so Poland is not necessarily especially in effects and rates my darling if I have to pick one and then there is Indonesia of course I mean these guys post a child of everything the market doesn't want to see now they have their central bank governor quitting for undisclosed reason personal reasons. Okay, great. Yes, yes, more time with family and then Prabowo appointed his nephew in a higher position in the central bank. I mean, it's a mess. So but the other thing it's it's a mess. So something I want to talk about with you for a second. So Indonesia is doing everything the market doesn't want to see, which is probably also reflected in Indonesian rupee and Indonesian assets valuation, which are looking like terrible, honestly. So how do you square this brand? When is that price action alone?

is bad enough for you to say, look, whatever bad narrative is already priced in, can I actually take the other side only based on price action being horrible, even if I don't have a fundamental thesis that aligns with it? Are you gonna do that? Like, do you ever do that? Not really. The only, unless I'm anticipating some catalyst that could be in the future, like, say right now, if I'm bullish Yen because of GPIF and XYZ, but I don't have a position And Dalyan goes 165.20 paid and then closes at 163 that day on massive volume. Then even though nothing's going on in, you know, in this Jeep, if thing could be a slow burner, at that point, I might use that blow off top with high volume as an excuse to get into a thing that I was thinking about anyways. So in Indonesia, it's trickier because a lot of times it's managed and it's hard to, like it's not really a true market rate.

but I will sometimes use the price action sure as but only if I already had the view anyway so like I'm sitting there and I'm bullish Indonesia for whatever reason because I think you know some new central bankers going to come and save the day or whatever kind of thing but it hasn't happened yet if the price action then supports it then I might use that as an entry point but I wouldn't use just like if I was looking at a random currency and had no view and then I saw a pattern that I liked, I wouldn't use the pattern to get into a trade. There's two reasons. One, I don't think that it's a good way to select trades that has positive EV, but also I don't have enough confidence in the trade to trade it correctly. I feel like if I don't really believe in a trade, I tend to do the wrong things. I'll get jiggled out on price action or I'll react to a headline because I'm not really that comfortable in the trade.

So I have to have some level of some kind of reasonable thesis and then I use like price action and charts and stuff like that to enhance technical or tacticals or like give me an entry and give me leverage and things like that. But if I just did a trade based on the chart 20 minutes later when it went against me by two pips, I'd be questioning what I did and probably get out at the worst possible time. So I always try to have like a more of a macro or some kind of fundamental or narrative or whatever behavioral it can be any kind of thesis and then use the charts after but i'll never start with a chart then go to that that stuff yeah same at my fund where you know the average position is held for like six months so it has to come with the macro thesis obviously and it has to be sized and the stops have to be wide enough for you to have staying power in that trade for six months there have been cases though where the fundamental thesis was neutral let's say I wasn't either too bullish or too bearish and something but the price action was ridiculously one direction and that makes you think right I mean because the skew between price action and your view is still there even if your view isn't super bullish if price action is mega bearish on something and your view is meh it's okay like I could get in I'm not super jumping off the chair of this but the skew between price action and view is still there right because you know what That's true. There is one point where I will just get into something just even if I don't even know what it is. It's just a number on a screen is if they were in the area of like three, four standard deviations. And especially if I know it's because of liquidation, like say there's something where I know there's margin calls in this thing and front end rates or

whatever the thing is, then I might like if especially if I can look back over say I'm using deviation from the hundred day as my my metric and I see you know at three and a half standard deviations the last six times it got to that it reversed and we're at three and a half standard deviations now sometimes I will just get in with like a one day's range or two days range stop just because I have enough you know of history like obviously six is a small sample size but to me that would be good enough in that situation to say hey you know what three and a half standard deviations is enough I know people are being forced to liquidate you know I'm going to take the other side and you know always have a fixed stop loss yes and just what my view on the question asked you about emerging market rates effect and also UK European rates effectively being an oil trade or actually if you're receiving those rates, you're selling oil calls. That's literally what you're doing. And then you said, well, then some buy some oil calls against it, which is actually simple, but true. What I learned is that as a macro manager, if you want to hedge every single factor concentration, the risk your book might have at any point in time. Yeah, then you're left with nothing. Because at the essence, you're just pissing away. Yeah, right, right.

Exactly at the essence as well. I think, Brandon, macro investing is being smart enough to construct portfolios where you have a certain view on a factor that can be, I don't know, rates, equities, the dollar, EM. There are a million factors you can get on as a macro manager. So if you hedge away all the factor risk, you're left with nothing. If you're a long short equity manager, that's different. You have idiosyncratic alpha in a single stock, then you should hedge away all the factor risk. That's noise, right? You don't want that. If you're a macro manager, you can't edge away all your factor risk. But what you can do is if you have a lot of concentrated factor risk on something and the hedges are cheap, you shut the fuck up and you buy the hedges. That's what I learned that you don't, you don't say, oh, but I don't think that's going to happen. You just buy the hedge when it's cheap enough. Or if the hedges are expensive, you sell put spreads or something in oil. And then, you know, there's a possibility that you could make money on both. And those, those kind of hedges can be good as well.

and the other thing is you sell put spreads which is another thing that seems to be somehow forbidden because you know you are always looking at

positive skew it needs to be three to one payout in your favor you cannot sell something that is one to two against you you can do a bunch of stuff as long as you size things appropriately as long as i think your downside risk is limited so you're not selling You're selling put spreads. I would sell puts I would leave selling puts to very brave people I would say in general it's much harder to hedge the gap risk right so much harder I would say but if you sell put spreads you're selling a negative skew payout thing that Pays out 80% of the times. So you will probably get paid. So you just need to Always look at the Evie the expected value by the way, I'm still waiting for your book man. How long does it take for these things to be shipped?

Yeah, it's funny and oh, we're going to run out of time soon, but it's funny in this day and age of Amazon, you know, you expect everything basically the same day after you or you expect to get it before you order it. But international shipping from the US still takes like weeks. It's unbelievable. It's got to go through customs and everything, I guess. Yeah, well, I'm here waiting to to read it. I was reading my friend Steve Dropney inside the House of Money book where he interviews various hedge funds. manager I was reading it for I think the 10th time but once a year make a point of reading that also I try to read your books often but I'm not I've now read Alpha Trader a million times I'm waiting for the new one just all right it'll be there soon I promise all right okay guys thanks for listening as always you know where to find Brent and me Bloomberg emails whatever we love you very much for listening and be in touch with us for anything you want to you know ask us all right happy august ciao ciao The content provided on the Macro Trading Floor podcast is for general information purposes only. No information or other content provided in this podcast should be considered as investment advice. Seek independent professional consultation in the form of legal, financial and fiscal advice before making any investment decision. Always perform your own due diligence.